

SAMPLE DELIVERABLE • ILLUSTRATIVE ONLY

A worked assessment, start to finish.

What a fund receives at the end of a three-week Stage 1 engagement – the position, the four scores, the reconciliation, the risk register and the evidence register – shown against a composite company built for this purpose.

TERRAFIX CARBON IS NOT A REAL COMPANY

Every name, number, counterparty and finding below is invented. The company is a composite assembled from patterns we see repeatedly in agricultural-residue pyrolysis, and it was built to demonstrate the method rather than to characterize any operating business. Any resemblance to a real company is coincidental and unintended.

VERSION 1.3
15 SEPTEMBER 2026
REVIEW 1Q2027

CLIMATESPRINTS.COM
PRACTICE@CLIMATESPRINTS.COM

POWERED BY PURPOSE. DRIVEN BY ACTION.

The pattern between the four scores is the finding. There is no composite number.

A fund that commissions a Stage 1 assessment receives seven sections in the same order every time, so that two assessments six months apart can be read against each other. This document reproduces all seven against a composite company.

The scoring runs 1 to 5 on twenty-four dimensions across four assessments. Every score carries an evidence grade describing where the evidence came from, not how good the news was. Grade D — company assertion, unverifiable within the engagement — caps a score at 3 regardless of how plausible the assertion is.

One dimension in each assessment carries a veto. Where TR-1, CC-3, EC-8 or CR-3 scores 2 or below, that assessment cannot exceed 3 whatever the others do.

Why the composite is unfavorable

Most sample deliverables show the provider being right about a good company. That is the easy case and it tells a reader nothing about how the method behaves under pressure.

Terraflux is a company with real technology, a real dated trigger, a team that discloses honestly, and an underwriting problem that is invisible from the deck. It is the case where the method either earns its fee or does not.

The engagement behind it

CLIENT	A \$180M climate-dedicated Fund II, considering \$6M of an \$18M Series A
SCOPE	Stage 1·full assessment, twenty-four dimensions
DURATION	Three weeks from close of Stage 0 definition
LEAD PRINCIPAL	Marc Strauch
BENCH SPECIALIST	Lawrence Culliford, EE — biochar, waste-to-value, waste-to-energy

THE COMPANY, AS PRESENTED

COMPANY	Terraflux Carbon, Inc. — composite	RAISE	\$18M Series A
TECHNOLOGY CLASS	Continuous pyrolysis of agricultural residue to biochar, with syngas recovered for process heat	DESIGN CAPACITY	12,000 t/yr feedstock·approximately 3,000 t/yr biochar at a 25% mass yield, with condensables and syngas as the balance
LOCATION	Davis, California. First commercial unit sited in the San Joaquin Valley	REVENUE LINES	Five streams. Durable carbon removal credits (58% of model), grower tipping fees (24%), soil amendment sales (9%), wood vinegar (6%), recovered syngas booked as heat sales (3%)
FEEDSTOCK	Orchard removals and walnut hull and shell residue. 78% single-crop	CASH	\$6.7M at 31 July 2026 against \$610k monthly burn
STAGE	Continuous pilot at 1,140 operating hours. First commercial unit not commissioned	HEADCOUNT	Nineteen. Plan adds fourteen in twelve months

The deck describes a carbon removal company. The evidence describes an agricultural waste-management company holding a carbon removal option. Those are different businesses with different buyers, different clocks and different reserves.

Terraflux Carbon, Inc.

ASSESSED 15 SEPTEMBER 2026 • STAGE 1 FULL ASSESSMENT • LEAD: MARC STRAUCH • BENCH: LAWRENCE CULLIFORD, EE



The pattern is a timing bet compounded by a financing decision — high technical readiness against undated commercial compulsion, with a capital plan that runs out fourteen months before the company's own assumed repricing date.

What is true

The technology works at the stage claimed and we are confident about that. A third-party engineer verified 1,140 continuous operating hours, degradation sits inside the cost case, and the carbon persistence work has been published and independently reviewed. There is a real, dated, enforceable instrument in this company's market: the San Joaquin Valley agricultural open-burn prohibition, which removes the cheapest disposal route for orchard residue and is already in force. A named grower cooperative has signed a letter of intent to pay a tipping fee. The team discloses honestly — the 2025 commissioning slip was reported to investors six weeks before the date, with the cause stated accurately, and the prior forecast was produced on request without editing.

What determines the outcome

Two dimensions, and they are not the ones the deck defends. **CC-3**, because the dated trigger the company cites compels its feedstock supplier and not its buyer. The open-burn prohibition makes growers willing to pay Terraflux to take residue. Nothing in it makes any corporate buyer purchase a durable removal credit on any date. Seventy-one percent of the revenue model sits on the credit line, and that line has a broker rather than an end buyer, a discretionary budget rather than a program, and no trigger that can be dated. **CR-3**, because eleven months of cash reaches commissioning of the first commercial unit, and commissioning is only a fundable milestone if offtake exists against it. It does not.

The divergence

Our technical and commercial assessments disagree, and the disagreement is the most valuable thing in this document. The technical work concludes the plant produces removal credits at a delivered cost of roughly \$128 per tonne. The commercial work establishes that the counterparty who would buy them has no budget program and no obligation, while a different counterparty — the grower cooperative — has a confirmed operating line, a signed instrument and a regulatory deadline. Both findings are correctly evidenced. The gap between them is the entire investment question. Averaging them into a single number would have destroyed it, which is why we do not produce one.

The recommendation

Do not take this position as presented, and do not pass on it either. As underwritten it is a carbon-removal position with an undated buyer and eleven months of cash, which is a timing bet priced as a business. There is a legitimate position here at a different size and shape: a waste-management company with contracted tipping revenue, holding a carbon-removal option that becomes valuable if and when the credit market acquires an obligation behind it. **If you proceed, do so with the tranche conditioned on a signed CDR offtake or prepayment carrying a delivery date inside twenty-four months, with the bridge reserve set at close rather than at the point it is needed, and with the CDR-versus-tipping decision made in writing as a condition of the round.** Section 7 states the three items in the order we would put them in the term sheet.

Confidence

Moderate on technical, commercial and execution. **Low on capital readiness**, because CR-5 rests on assertion and because we were not granted an interview with the CDR broker's end client. Naming that client and interviewing them would raise commercial confidence to High and would move CC-1 and CC-2 together. It is the single highest-value piece of access still available and we estimate it at four to six working days.

03 • THE FOUR SCORES

Five pips filled to the score. The letter is the evidence grade: **A** independent third party, **B** counterparty, **C** company-generated but verifiable, **D** company assertion. Hatched pips above 3 indicate a score constrained by the grade D cap rather than by the evidence.

TECHNICAL READINESS 4 CONFIDENCE • MODERATE	COMMERCIAL COMPULSION 2 CONFIDENCE • MODERATE	EXECUTION CAPACITY 3 CONFIDENCE • MODERATE	CAPITAL READINESS • GATE 2 CONFIDENCE • LOW
---	---	--	---

Technical readiness

SCORE 4 • CONFIDENCE MODERATE

TR-1	Stage integrity		B	Continuous pilot verified at 1,140 operating hours by a third-party engineer engaged by the prior round; matches the stage claimed.
TR-2	Scale-up discontinuity		C	Feed heterogeneity and auger heat transfer at 12,000 t/yr are named by the team but not yet closed; the approach is modeled, not tested.
TR-3	Dependency exposure		B	Feedstock is 78% walnut residue in a single air basin. California walnut bearing acreage has fallen from a 2022 peak of about 400,000 acres to 365,000 in 2025 — four consecutive years of decline, driven by water stress and removals rather than by a single bad season. One alternate identified, none contracted.
TR-4	Performance durability		A	Degradation across the 1,140-hour run is within the cost case; refractory and auger wear measured rather than modeled.
TR-5	Independent verification		A	Puro.earth methodology conformity assessment completed; university field trial on carbon persistence published.

Assessment score 4 against a dimension mean of 3.6. Stated deviation: TR-4 and TR-5 carry grade A evidence and the two open items are engineering scope rather than feasibility.

Commercial compulsion

SCORE 2 • CONFIDENCE MODERATE

CC-1	Named buyer		B	Five revenue streams, two named counterparties. The tipping-fee buyer is a named grower cooperative with a signed LOI, classified binding . The CDR counterparty is a broker, not an end buyer, and its document is an MOU the company describes as an offtake — we classify it soft . Soil amendment, wood vinegar and heat have no named buyer at all.
CC-2	Budget line		C	Grower tipping comes from a confirmed operating line already spent against. CDR purchases come from discretionary corporate sustainability budgets with no identified capital program and no approval threshold supplied.
CC-3	Trigger		B	Gating. The dated instrument the company cites — the San Joaquin Valley agricultural open-burn prohibition — compels the feedstock supplier, not the credit buyer. No dated trigger exists on the revenue line carrying 58% of the model, and none exists on the three smaller lines either. Widening from three streams to five did not add a compelled buyer; it added three more that nobody has to buy from.
CC-4	Unsubsidized cost case		A	Cost stack fails below \$145/t CDR. Company model assumes \$180/t from 3Q2028; counterparty-reported clearing for durable biochar removal is currently below that. 45Q is not claimable on this pathway.
CC-5	Displacement friction		C	Incumbent on the supply side is chip-and-spread at an asserted \$180–240/acre; switching friction is low. On the credit side the incumbent is not purchasing at all, which is a higher friction than the deck treats it as. Wood vinegar displaces registered products in a category where the buyer's switching cost includes re-qualifying an input against a crop protocol.

Assessment score 2, gated by CC-3 at 2 per the instrument. Dimension mean 2.4; the score sits below the mean because CC-1 and CC-5 both score on the tipping-fee line rather than on the revenue line being underwritten.

Execution capacity

SCORE 3 · CONFIDENCE MODERATE

EC-1	Demonstrated execution	●●●○○	B	Founder built and ran the pilot and closed two grant rounds; three references confirm. No prior delivery of a commercial-scale industrial unit by anyone on the team.
EC-2	Orientation shift	●●○○○	C	The founder owns every buyer conversation. The commercial hire started seven weeks ago and has closed nothing; the buyer relationships have not been transferred.
EC-3	Blind-spot permeability	●●●●●	C	The commercial gap was named unprompted in the first session, before we raised it, and the founder revised a stated position on offtake structure under challenge.
EC-4	Conflict metabolism	●●●○○	C	One traced disagreement between the founder and the COO on CDR-first versus tipping-first. It ended by deferral rather than by decision, and no written mechanism exists for the next one.
EC-5	Cohesion and hiring integrity	●●●○○	C	Last three hires selected on capability; working-style fit assessed informally. Two voluntary departures in eighteen months, both stated as compensation.
EC-6	Decision behavior	●●○○○	B	The CDR-versus-tipping strategic decision has been visibly deferred across four board cycles. Contemporaneous board minutes record it as open in each.
EC-7	Governance permeability	●●●○○	C	Board meets quarterly and receives bad news with the numbers rather than before them. Prior investors are used as a reporting audience.
EC-8	Disclosure integrity	●●●●●	B	Prior forecast produced on request without editing. The 2025 commissioning slip was disclosed to investors six weeks before the milestone date, with the cause stated accurately.

Assessment score 3 at the dimension mean. EC-8, the gating dimension, is a genuine strength and is the principal reason this company is addressable rather than a pass.

Capital readiness · gate

SCORE 2 · CONFIDENCE LOW

CR-1	Absorptive capacity	●●○○○	C	Plan adds fourteen roles in twelve months. Actual time-to-fill across the last four hires averaged 5.5 months, and the organization has never operated above nineteen people.
CR-2	Capital plan integrity	●●○○○	C	\$18M stated as a round size. No bottom-up total to breakeven supplied. Project-level debt and a CDR prepayment facility were both identified by us and neither has been approached.
CR-3	Runway and milestone alignment	●●○○○	B	Gating. \$6.7M at 31 July 2026 against \$610k monthly burn is eleven months, to July 2027. It reaches commissioning of the first commercial unit — a milestone a later investor recognizes only if offtake exists, and it does not.
CR-4	Dilution path and cap table	●●●○○	C	Modeled through this round only. A 1x non-participating preference from the seed carries forward. Option pool is 6.5% against a plan requiring fourteen hires.
CR-5	Liquidity horizon	●●○○○	D	Acquirers named as categories — industrial gas majors, agricultural processors. No comparable transaction, date or multiple supplied. Score capped at 3 by grade D and set at 2 on the evidence.
CR-6	Unit economics at scale	●○○○○	D	No separate cost is carried for the second unit. The plan applies a 30% decline to the first-unit capital cost with no attribution behind it. Unit two is one doubling, so that is a claim of a 30% learning rate against an observed band of 10–20% for complex industrial deployment. Reforecast at 12%, the plan requires a further \$9M and the Series B milestone moves two quarters. Score capped at 3 by grade D and set at 1 on the evidence.

Assessment score 2, gated by CR-3. Dimension mean across the six is 1.8; the score sits above the mean because CR-4 is sound and because CR-6 scores 1 on an assumption the company can correct in a fortnight. Capital readiness is reported as a gate rather than averaged against the other three.

Where the assessments disagree, and what the disagreement means.

High TR • Low CC	The canonical climate write-down and the primary pattern here. It works, and nobody has to buy it on any date. We recommend the position be sized against a longer clock than a standard fund life, and we identify below what would create compulsion and roughly when.
Strong TR, EC • Low CR	The secondary pattern, and the one that converts this from an interesting risk into an expensive one. A financing decision wearing a company. The gap is stated in months and dollars in the dated comparison below, and the non-dilutive paths that have not been pursued are named in the register.
Compulsion after the runway ends	The most frequently missed finding in climate diligence, and the one that converts a good company into a down round. Reported as a single dated comparison rather than as two scores.

THE DATED COMPARISON • CC-3 AGAINST CR-3

Open-burn prohibition	In force. Dated, enforceable, and the reason the grower cooperative signed. Compels the feedstock supplier. Supports the tipping line at 24% of the model.	IN FORCE
Runway ends	\$6.7M at \$610k monthly. Reaches commissioning of the first commercial unit.	JUL 2027
Series B assumed	Company plan. Predicated on commissioning plus contracted CDR offtake, of which only the first is inside the runway.	Q3 2027
CDR repricing assumed	Company model assumes \$180/t from this date. This is a forecast, not a trigger. No obligation, deadline or contracted commitment produces it.	Q3 2028
Earliest dated compulsion on the credit line	None identified. If a compliance market with a durable-removal obligation is legislated, the earliest plausible effect on procurement is two to three years after enactment, and no such instrument is currently before a legislature in this jurisdiction.	UNDATED

The gap is fourteen months at minimum — between the month the cash runs out and the month the company's own model assumes its principal revenue line reprices. That is the optimistic reading, because the later date is a forecast rather than a trigger and could move in either direction without anything happening that the company can observe or influence.

This is not a commercial finding. It is a financing finding, and it converts the decision in front of you from an investment in a company into a commitment to a financing sequence. That is a different decision requiring a different reserve, and the reserve should be set before the position is taken rather than after.

What we would ask before the investment committee

If the tipping line alone were underwritten — contracted, dated, in force, and at 24% of the presented model — what would this company be worth, how much capital would it need, and would you take that position? We think that question has a better answer than the one being asked, and we think nobody has asked it, including the company. It is not our call to price it, and section 7 does not attempt to.

Every dimension scoring 3 or below, formatted to go into a board pack unedited.

Built to the treatment vocabulary of ISO 31000:2018 and the objective-linkage requirement of COSO ERM (2017). Delivered alongside this document as a structured export carrying all nine fields, so it loads into your own risk system without retyping. Ownership passes to you on delivery.

REF	RISK	OBJECTIVE AT RISK	L	IMPACT	TREATMENT	ACTION AND OWNER	TRIGGER
CC-3	The revenue line carrying 58% of the model has no dated trigger, and the four smaller lines have none either. The dated instrument the company cites compels its feedstock supplier, not its buyer.	Revenue milestone underwriting the Series B	High	Position-threatening	Avoid or reduce	Condition the tranche on a signed CDR offtake or prepayment with a delivery date inside 24 months. Company, with fund as condition of close.	Signed offtake, or 31 Mar 2027 with none Review: at close, then quarterly
CR-3	Runway ends July 2027, fourteen months before the company's own assumed CDR repricing date, and that date is a forecast rather than a trigger.	Reserve adequacy; avoidance of a bridge on distressed terms	High	Position-threatening	Retain, reserved	Set the bridge reserve at close rather than at the point it is needed. Sizing follows from the dated comparison in section 3. Fund.	Cash below nine months, or 31 Jan 2027 Review: monthly from Q1 2027
CC-4	Cost case fails below \$145/t and the model assumes \$180/t. No claimable federal credit on this pathway.	Gross margin at first commercial unit	High	Material	Reduce	Rebuild the cost stack at \$120, \$145 and \$180/t and price the position against the lowest. Climate Sprints, if commissioned; otherwise fund.	Published clearing price below \$130/t for two consecutive quarters Review: quarterly
CR-2	\$18M stated as a round size with no bottom-up total to breakeven. Project debt and CDR prepayment identified and not pursued.	Total capital committed across the position	High	Material	Reduce	Require a bottom-up build to breakeven and a written non-dilutive pathway before close. Company.	Model delivered, or close date Review: at close
CR-6	The second unit carries a 30% cost decline with no attribution, implying a learning rate above the 10–20% band observed in complex industrial deployment.	Total capital to a two-unit fleet	High	Material	Reduce	Cost unit two bottom up and attribute each element of the decline, or reforecast at 12%. Company, before the use-of-proceeds is agreed.	Attributed cost delivered, or close date Review: at close
EC-6	The CDR-versus-tipping strategic decision deferred across four board cycles. The company is running two businesses and funding neither.	Time to first commercial deployment	High	Material	Reduce	Make the decision a condition of the round, with a written decision mechanism for the next one. Company, with fund at board.	Written decision recorded in minutes, or 31 Dec 2026 Review: next two board cycles
EC-2	Founder retains every buyer relationship. The commercial hire has closed nothing at seven weeks.	Pipeline conversion ahead of the Series B	Moderate	Material	Reduce	Transfer two named accounts to the commercial hire with a dated handover. Momentum Sprint or equivalent support. Company or fund.	Two accounts transferred, or 31 Jan 2027 Review: quarterly
TR-3	Feedstock is 78% single-crop walnut residue in one air basin, against four consecutive years of statewide bearing-acreage decline. No alternate contracted.	Utilization of the first commercial unit	Moderate	Material	Share	Contract a second feedstock stream, or allocate supply risk to the cooperative in the tipping agreement. Company.	Bearing acreage report, spring 2027 Review: annual, at acreage release
TR-2	Feed heterogeneity and auger heat transfer at commercial throughput are named but modeled rather than tested.	Commissioning schedule	Moderate	Contained	Reduce	Commission an independent review of the scale-up package before the long-lead order. Fund, before close.	Long-lead equipment order placed Review: before order
CR-5	No named acquirer and no comparable transaction. Liquidity route described as a category.	Exit inside the remaining life of the fund	Moderate	Material	Retain	Accept knowingly and size the position against a longer clock than a standard fund life. Fund.	Any comparable transaction in the sector Review: annual
CR-1	Fourteen hires in twelve months against a 5.5-month average time-to-fill and no experience above nineteen people.	Milestone dates in the use-of-proceeds	Moderate	Contained	Reduce	Reforecast the plan against actual hiring velocity before the use-of-proceeds is agreed. Company.	Two consecutive quarters below plan headcount Review: quarterly

Eleven entries from twenty-four dimensions. Entries scoring 4 or 5 are registered only where a specific dependency makes them fragile; none qualified here. The formation test we hold ourselves to: an entry is well-formed if you can place it in a board pack unedited, and a year later say without argument whether it fired.

What we saw, who we spoke to, and what we asked for and did not get.

1 • Documents reviewed

- Independent commissioning report, 1,140-hour continuous run — Aug 2026 · TR-1, TR-4
- Puro.earth methodology conformity assessment — Mar 2026 · TR-5
- Peer-reviewed carbon persistence trial, university partner — Jan 2026 · TR-5
- Scale-up engineering package, internal — Jul 2026 · TR-2
- Feedstock supply memorandum and acreage analysis, internal — Jun 2026 · TR-3
- Signed letter of intent, grower cooperative — May 2026 · CC-1, CC-2
- Cost stack model with support-mechanism sensitivity, internal — Aug 2026 · CC-4
- Board minutes, four cycles — Sep 2025 to Jun 2026 · EC-6, EC-7
- Forecast supplied to the seed round against actual outcome — 2025 · EC-8
- Financial model, cap table and use of proceeds — Aug 2026 · CR-1 to CR-4

2 • Interviews conducted

- Founder and CEO — three sessions, 4.5 hours total. Company-arranged. One session run under a challenged assumption and a compressed decision.
- COO and co-founder — two sessions, 2 hours. Company-arranged. Individual session preceded the collective.
- Commercial lead — one session, 50 minutes. Company-arranged.
- Head of engineering — one session, 90 minutes, with the bench specialist. Company-arranged.
- Grower cooperative, operations director — 45 minutes. Independently sourced. Buyer-side.
- CDR broker, commercial director — 40 minutes. Company-arranged. Buyer-side, intermediary.
- Two prior investors — 30 minutes each. Independently sourced.

- Three references on prior execution — 25 to 40 minutes each. Independently sourced.
- Independent commissioning engineer — 35 minutes. Independently sourced.

3 • Requested and not provided

- **Interview with the broker's end client.** Requested 12 Aug, declined 19 Aug; reason given was a confidentiality obligation to the client. Affects CC-1, CC-2 and commercial confidence. This is the single largest limit on this assessment.
- **Comparable transactions supporting the liquidity route.** Requested 14 Aug, not supplied by delivery. No reason given. CR-5 scored at grade D in consequence.
- **Bottom-up build to breakeven.** Requested 12 Aug; a top-down figure was supplied instead. CR-2.
- **Departure interviews or stated reasons in writing.** Requested 20 Aug; provided verbally only. EC-5.

4 • Personnel

- Marc Strauch — lead principal. All twenty-four dimensions; sole assessor on EC.
- Lawrence Culliford, EE — bench specialist, biochar and waste-to-value. TR-1 to TR-5, CC-4, CC-5. Calibrated against the reference case 12 Jun 2026; variance within one point on every dimension.

EC was scored by a single assessor. Paired attendance was not available for this engagement, so EC comparability against other assessments is weaker than the method claims and is recorded as such.

A company that will not permit a buyer interview has produced a finding about CC-1 whether or not it intended to. We record the request, the date, the reason given and the dimension affected, and we draw no inference beyond what the refusal itself establishes.

Written before the outcome is known, as testable statements rather than caveats.

A position with stated falsifiers can be monitored. A position without them can only be believed or disbelieved.

1. A signed CDR offtake or prepayment from a named end buyer, with a delivery date inside eighteen months, would move CC-1 and CC-3 together and change the pattern from a timing bet to an addressable position. This is the single highest-leverage event available to the company and everything else is secondary to it.
2. Legislation creating a durable-removal purchase obligation in any of the company's addressable jurisdictions would move CC-3 from 2 to 4 and CC-4 from 2 to 3 or better, depending on the price floor. Absent enactment, both hold.
3. A non-dilutive facility of \$5M or more closing before the equity round — project debt against the contracted tipping line, or a CDR prepayment — would move CR-2 and CR-3 together and materially reduce the bridge reserve implied by the register. Neither path has been approached, which is itself a CR-2 finding.
4. A written decision on CDR-first versus tipping-first, recorded in minutes, with resourcing reallocated behind it, would move EC-6 from 2 to 4 and raise EC-4. Continued deferral past the next two board cycles would hold both and reduce our confidence in the milestone dates.
5. Transfer of two named accounts to the commercial hire, with the buyer relationship genuinely moved rather than shadowed, would move EC-2 from 2 to 3 or 4 depending on what closes.
6. Slippage of the commissioning milestone by one quarter without a corresponding extension of runway would move CR-3 from 2 to 1 and convert this from a conditional position into a pass.
7. A bottom-up cost for the second unit, with the decline attributed to a design freeze, quoted tooling and signed supplier agreements, would move CR-6 from 1 to 4 and remove the largest single unpriced assumption in the capital plan. Absent that, a reforecast at 12% moves it to 3 and moves the Series B date.
8. A second contracted feedstock stream, or explicit allocation of supply risk to the cooperative, would move TR-3 from 3 to 4. Bearing acreage falling a fifth consecutive year without either would move it to 2.

08 • IF YOU PROCEED

Three items, drawn from the lowest-scoring dimensions, in the order we would put them in a term sheet. We take no position on price or terms; that number is yours.

1

Condition the tranche

Release the second tranche against a signed CDR offtake or prepayment carrying a delivery date inside twenty-four months. This is the only condition that treats the actual finding rather than a symptom of it. From CC-1 and CC-3.

2

Set the reserve at close

The dated comparison establishes a fourteen-month minimum gap. Size the bridge reserve now, while it is a modeling exercise, rather than in month nine when it is a negotiation. From CR-2 and CR-3.

3

Force the decision

Make the CDR-versus-tipping decision, in writing, a condition of the round, together with a stated mechanism for who decides the next one. The company is currently funding two businesses at the scale of neither. From EC-4 and EC-6.

What this assessment did not examine

We assess the company. We did not assess the transaction — who introduced it, what their position in it is, or how much of the round reaches the balance sheet rather than retiring an existing holder. Those are material facts about what is being bought, they are frequently invisible in a data room, and they sit with you to establish. We asked the three provenance questions at scoping and record here that the round was represented to us as entirely primary, on the company's statement, which we did not verify.

Everything above is invented. Everything below applies to real engagements.

Not an audit. We do not certify financial statements, verify title, or opine on legal or tax matters.

Not a valuation. We take no position on price or terms. Several dimensions bear on how a position should be sized and we say so, but the number is yours.

Not a prediction. Scores describe evidence available at a point in time. No score should be read as a probability.

Not investment advice. Climate Sprints is not a registered investment adviser or broker-dealer. Nothing in an assessment is a recommendation to buy, sell or hold any security. We take no equity, no carried interest, no success fee and no compensation from any company we assess.

Not transferable. An assessment is prepared for the client who commissioned it and may not be relied upon by another party without a separate reliance letter.

Not exhaustive. A third-party assessment conducted with the access granted, in the time agreed, on the evidence made available. Material facts may exist that were not disclosed, not discoverable within the engagement, or not yet in existence. The evidence register states what we saw and what we asked for and did not get; it cannot state what nobody knew to look for.

Not a substitute for your own diligence. One input to a decision that remains entirely yours. It does not replace legal, technical, financial, environmental, insurance or regulatory diligence conducted by qualified specialists.

Time-bound. Regulation moves, competitors ship, key people leave and credits expire. An assessment more than two quarters old is a historical document unless it has been refreshed.

Conflicts. Where a bench specialist has any relationship with a company under assessment, it is disclosed before work begins and we either substitute the specialist or decline the mandate.

READ THE METHOD

The full assessment method — four assessments, twenty-four dimensions, the evidence standard for each and the rule for what happens when they disagree — is released on request at climatesprints.com/method, with a companion written for the founders being assessed. If you think a threshold is wrong, the document is built so you can say which one.

START WITH A CALL

Thirty minutes, direct — calendly.com/marcstrauch

practice@climatesprints.com
climatesprints.com